

Example: Risk Impact Scoring

Snippet:

*"The Company's business, results of operations and financial condition, as well as the price of the Company's stock, have been **adversely affected** and could in the future be **materially adversely affected** by the COVID-19 pandemic."*

Score Components:

- **[+5]** → States that COVID-19 has already hurt the business (historical, direct impact).
- **[+2]** → Adds that future impacts could be 'materially adverse', signalling severity.
- **[-1]** → No quantitative magnitude provided.

→ **Final Snippet Score** = **[+5]** + **[+2]** + **[-1]** = **[+6]**

Reasoning Summary:

 **LLM** → *"Direct admission of past and potential material harm warrants a high score even without quantification."*

